

MUSTARD SEED

Faith-Driven Management Consulting



Business Plan

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1. Executive Summary

Mustard Seed is a management consulting firm that operates an exclusive Business Network. It provides embedded consulting across operations, marketing, and finance to small and medium-sized businesses in the United Kingdom. The firm is built on Christian principles of service, integrity, and community.

The model is straightforward. Companies can join the Mustard Seed Business Network by providing an equity stake (15–20%, preferred 17%) and a recurring revenue or profit share (5–10%). In return, they receive ongoing consulting, implementation support, and access to the network. Companies that do not wish to join the network can still engage Mustard Seed on a paid basis for project work, but without network access or ongoing benefits.

The Core Model

Mustard Seed builds a long-term Business Network where companies grow together through consulting, active implementation, and aligned incentives. Network members provide an equity stake and recurring revenue or profit share. Non-network clients pay standard consulting fees. All engagements begin with a structured three-month diagnostic phase.

Mustard Seed advises, implements, and monitors. It does not seek operational control over member companies. Ownership is a partnership mechanism, not a governance mechanism. The founders of each member company retain independent control of their business.

Pilot-First Approach

The business launches with the founder as the sole consultant. This proves demand, builds a track record, and generates the first network members before expanding. Year 1 targets 2–3 member companies, with revenue supplemented by paid consulting and financial advisory services for non-network clients.

Market Opportunity

The global business incubator market is valued at \$25.9 billion (2025), growing at 7.9% CAGR to \$44.2 billion by 2032 (Coherent Market Insights). The UK hosts 360+ active incubators and accelerators, but most offer short-term mentorship rather than embedded operational support. Mustard Seed fills the gap between light-touch accelerators and expensive management consultancies.

Key Financials (Base Case)

Metric	Year 1	Year 3	Year 5
Portfolio Companies	2–3	8–10	15–18
Total Revenue	£45,000	£195,000	£520,000
Net Profit / (Loss)	(£8,000)	£48,000	£185,000
Portfolio Equity Value	£75,000	£450,000	£1,400,000

2. Company Identity & Philosophy

2.1 What Mustard Seed Is

Mustard Seed is a management consulting firm. It is not a venture capital fund, an accelerator programme, or a holding company. It does not invest cash. It invests expertise.

The firm provides embedded consulting to small and medium-sized businesses through an equity partnership model. It takes a minority stake in exchange for hands-on work across operations, marketing, and finance. It also offers paid consulting to businesses that prefer a straightforward fee arrangement.

2.2 The Consulting-Network Model

There are two ways to engage Mustard Seed.

Option A is the Network. Companies provide an equity stake and a recurring revenue or profit share. In return, they join the Mustard Seed Business Network and receive all core consulting services as part of their membership. This is the preferred model because it aligns incentives. Mustard Seed succeeds when the member company succeeds.

Option B is paid consulting. Companies pay fees for project work or retainer arrangements. They receive professional consulting but no network access, no ongoing support beyond the contract, and no inter-member benefits.

The network is not a loose affiliation. It is a structured group of businesses that share access to Mustard Seed's services and, over time, may trade with each other on preferential terms. The intention is to build something where each member strengthens the whole.

2.3 Control Philosophy

Mustard Seed owns a minority share in each network member. That ownership does not translate to operational control.

The position is straightforward. Mustard Seed advises. It helps. It monitors. It can challenge decisions and make recommendations. But the business remains independently controlled by its founders.

Mustard Seed does not want authority over its member companies. It does not seek board seats by default. It does not impose strategic direction that the founders have not agreed to. The only circumstances where Mustard Seed would exercise additional influence are when the company specifically requests it, or when the contractual circumstances (such as a material breach) require it.

Ownership is not control. That distinction is central to how Mustard Seed operates and to the trust it builds with founders.

2.4 Mission & Values

Mustard Seed draws its name from the biblical parable. The smallest of seeds grows into the largest of garden plants. The firm's culture is built on Christian principles of service, integrity, and community as the foundational operating philosophy, not as a marketing tool.

- Stewardship: Managing resources and relationships with care and accountability
- Service: Prioritising member company success above short-term returns
- Integrity: Transparent terms, honest assessments, ethical operations
- Community: Building a network where member companies support one another
- Excellence: Delivering specialist-grade work in every engagement

3. Business Network Model

3.1 Who Can Join

The network is open to small and medium-sized businesses at various stages.

- Small businesses looking for growth support
- Medium businesses seeking operational improvement
- Pre-launch businesses still in the planning stage
- No strict minimum company size or revenue requirement
- The primary criterion is whether Mustard Seed can add genuine value to the business

Mustard Seed is selective about who enters the network. Not every business is a good fit. The diagnostic phase (see Section 7) exists partly to assess this before either side commits.

3.2 How to Enter

Equity partnership is the only route into the network.

The preferred equity position is 17%. The negotiation range is 15–20%. Mustard Seed will not accept less than 15% for a network engagement, and will not take more than 20%. These boundaries exist to keep the relationship fair without being either trivial or excessive.

In addition to equity, network members pay a recurring revenue or profit share of 5–10% (see Section 9 for the development framework on this).

There is no fee-based route into the network. Paying clients (Option B) receive consulting services but are not network members and do not receive network benefits.

3.3 What Membership Provides

Network members receive the following as part of their membership.

- Access to all four core Mustard Seed service pillars (Operations, Marketing, Finance, Legal) at no additional cost
- Embedded implementation support with Mustard Seed team members working alongside the client's team
- A structured three-month diagnostic phase including independent research and three strategic plans
- Ongoing monitoring and periodic reviews (Month 6, Month 12, and beyond)
- Access to other network businesses for referrals and collaboration

- Potential preferential commercial terms between member companies (future development, not guaranteed)

The preferential trading element is explicitly an idea for the future. It is not a current benefit and should not be treated as a guaranteed feature of membership.

4. Market Analysis

4.1 Market Sizing

Total Addressable Market (TAM): The UK small business support services market is estimated at £12.8 billion annually, including management consulting (£8.2B), business coaching (£2.1B), incubator/accelerator services (£1.3B), and training/development (£1.2B).

Serviceable Addressable Market (SAM): UK startups and small businesses (<50 employees) actively seeking growth support and open to equity-based arrangements: approximately £1.4 billion, representing ~45,000 businesses annually.

Serviceable Obtainable Market (SOM): In Years 1–3, Mustard Seed targets 8–10 portfolio companies in the Midlands and South East, representing a SOM of approximately £500K–£1M in service value delivered. The high-touch embedded model limits scalability intentionally in early years.

4.2 Market Trends & Growth Drivers

- Rising entrepreneurship: 390,000 new UK business registrations in 2024
- Funding gap: Bank lending to SMEs contracted 15% since 2020, driving demand for alternatives
- Skills deficit: 73% of small business owners lack expertise in at least one critical function
- Government support: £100M Innovation Accelerator programme (2022–2026)
- Faith-based investing growth: Church Investors Group manages £26B+ in assets
- Post-pandemic digital adoption: New market entry opportunities for digitally-enabled small businesses

4.3 Customer Segmentation

Segment	Size	Characteristics	Priority
Early-stage (0–2 years)	~95,000/yr	Some revenue, struggling with cash flow and scaling	HIGH — Primary pilot target
Growth-stage SMEs (2–5 years)	~65,000/yr	Established revenue, hitting ceiling, need strategic support	HIGH
Faith-aligned Entrepreneurs	~15,000/yr	Seeking values-aligned business support and community	HIGH — Warm pipeline via CREO/Navigators
Pre-revenue Startups	~120,000/yr	Idea-stage, need everything from legal to market validation	MEDIUM — Higher risk
Turnaround Cases	~30,000/yr	Businesses in difficulty, need restructuring	MEDIUM — Later expansion

5. Competitive Analysis

5.1 Traditional Accelerators & Incubators

Programme	Investment	Equity	Duration	Key Details
Techstars London	\$220K (\$200K uncapped MFN SAFE + \$20K post-money CEA)	5% minimum (via CEA)	13 weeks (Spring 2026: Mar–Jun)	Global mentor network, ~1% acceptance rate, no fee to join. Demo day investor exposure.
Seedcamp	€75K standard; up to €200K at seed. Later cheques \$350K–\$1M.	7% (Structured Equity) or 3% (Structured Warrant)	Ongoing (not cohort-based)	Europe's leading seed fund. 343 seed investments, avg round \$2.4M. 7 funds to date.
Bethnal Green Ventures	£60,000	6–7%	6 weeks	Tech for Good focus. Social impact ventures only. Backed by Better Society Capital.
Entrepreneur First	\$125K via post-money SAFE. Additional \$125K if relocating to SF.	8%	Multi-phase (FORM → LAUNCH)	Talent-first — invests in individuals before they have a company. Zero equity if EF doesn't invest further.

5.2 Faith-Based Business Support

Organisation	Model	Investment	Equity	Key Details
CREO Ventures	4-week Accelerator + 9-month Venture Lab + Consultancy	None	None	Christian entrepreneurs creating scalable social impact. Coaching, community, character development. UK-based, global reach.
Navigators UK (NEC)	Peer entrepreneur community and discipleship	None	None	Part of Navigators international (50+ years in UK, 100+ countries). Support and resources, not acceleration.
Faith Driven VC	Christian VC fund investing in faith-driven ventures	\$100K minimum (for LPs)	Standard VC terms	US-based, expanding to UK/Canada. Primary asset: ARK marketplace (Christian e-commerce, launched March 2026).
Church Investors Group	Institutional investor network (67 members)	Manages £26B+ in assets	N/A	Church/charity fund management. Investment policies based on Christian ethics. Potential LP partner for Mustard Seed.

5.3 Mustard Seed's Competitive Position

No UK competitor combines all three of: (1) equity-for-services consulting, (2) long-term embedded staff working inside member companies, and (3) faith-driven operational philosophy.

The traditional accelerators offer significant funding and networks but their support is mentorship-based and time-limited. Techstars' 13-week programme or BGV's 6-week cohort cannot deliver the operational depth Mustard Seed provides over 12–18 months. Their lower equity (5–8%) reflects the lighter involvement.

The faith-based organisations offer values alignment and community but lack investment capability or operational embedding. CREO provides coaching but no capital. Navigators builds community but not businesses. These are referral partners, not competitors.

Mustard Seed's 15–20% equity plus 5–10% revenue share asks more than the light-touch accelerators (5–8%), but delivers more too. Network members receive ongoing consulting across operations, marketing, and finance for the life of their membership. The equity and revenue share together reflect the depth, breadth, and duration of hands-on involvement that no accelerator programme comes close to matching.

5.4 Sustainable Competitive Advantage

- Network effect: Each member company strengthens the Business Network, compounding value that is hard to replicate
- Institutional knowledge: Every engagement builds proprietary playbooks and sector expertise
- Faith community pipeline: CREO, Navigators UK, church business groups provide warm referrals secular competitors cannot access
- Depth over breadth: Fewer companies, deeper involvement, stronger outcomes
- Equity retention: Long-term relationships that compound value, unlike one-time consulting fees

6. Service Pillars & Pricing

Mustard Seed offers two engagement paths. Option A is the preferred route. Companies join the Business Network by providing an agreed equity stake and recurring revenue or profit share. Option B is fee-based consulting for companies that prefer a traditional arrangement.

6.1 The Four Service Pillars

Mustard Seed's services are organised into four pillars. Each pillar covers a distinct area of business support. The following sets out what each pillar delivers.

Operations

The Operations pillar covers the day-to-day running of the business. It focuses on making existing processes work better and building new ones where gaps exist. Most small businesses have never had someone map out how their operations actually function. That is where this starts.

- Business process review and improvement (mapping how work actually flows, identifying bottlenecks, redesigning where needed)
- Supply chain and procurement management (supplier relationships, sourcing, stock management, cost negotiation)
- Workflow design and implementation (building repeatable processes where the business currently relies on improvisation)
- Systems setup and selection (inventory management, CRM, project management tools, choosing what fits rather than what is fashionable)
- Quality control frameworks (defining standards, building checks, making sure output is consistent)
- HR support (recruitment processes, onboarding structures, team organisation, role definitions)
- Operational KPI development and tracking (measuring what matters, building dashboards the team actually uses)
- Cost reduction and efficiency programmes (finding waste, reducing overheads, improving margins without cutting quality)
- Vendor and supplier relationship management (contract reviews, performance tracking, renegotiation support)

Marketing

The Marketing pillar covers everything the business does to find and keep customers. It spans strategy, execution, and measurement. Many small businesses spend money on marketing without knowing what works. This pillar brings structure to that.

- Marketing strategy development (who the customer is, what the message should be, where to reach them)
- Brand positioning and identity (how the business presents itself, what it stands for, visual and verbal consistency)

- Go-to-market planning for new products or services (launch strategy, pricing positioning, channel selection)
- Digital marketing (SEO, social media management, email marketing, paid advertising where appropriate)
- Content strategy and creation support (what to publish, where, how often, and what it should achieve)
- Campaign planning and execution (seasonal campaigns, promotions, product launches, event marketing)
- Customer research and segmentation (understanding who buys, why they buy, what would make them buy more)
- Competitor analysis and positioning (what competitors do well, where they are weak, how to differentiate)
- Website and online presence review (does the website actually convert, is the business findable, what needs fixing)
- Marketing budget planning and allocation (how much to spend, where to spend it, how to measure return)

Finance

The Finance pillar covers financial planning, monitoring, and decision support. It helps the business understand where its money goes and how to make better financial decisions. This is not accountancy. It is financial management and strategy.

- Financial planning and analysis (building a financial picture of the business, identifying trends, projecting forward)
- Cash flow management and forecasting (the single biggest killer of small businesses, treated with the seriousness it deserves)
- Budgeting (annual budgets, project-level budgets, department budgets where the business is large enough)
- Financial modelling (scenario analysis, growth modelling, investment appraisal, break-even analysis)
- Management reporting and dashboards (monthly reports the owner can actually read and act on)
- Bookkeeping oversight and setup (not doing the bookkeeping, but making sure it is being done properly and the systems work)
- Tax planning awareness (flagging opportunities and risks, then referring to a qualified accountant for formal advice)
- Funding readiness assessment (is the business ready to raise money, what would an investor want to see)
- Pitch preparation for investors or lenders (financial packs, business cases, presentation support)
- Small financial aid (future development, modest working capital support for network members going through growth phases)

Legal (In Development)

The Legal pillar is being built. It currently operates through partner law firms. The long-term plan is to build this into an internal capability with Mustard Seed's own legal team. Until then, the pillar provides guidance and coordination rather than formal legal advice.

- Contract review and basic drafting (reviewing agreements before the client signs, flagging risks, suggesting amendments)
- Compliance and regulatory awareness (helping the business understand what rules apply to them and what they need to do)
- Employment law basics (employment contracts, workplace policies, disciplinary procedures, redundancy processes)
- Intellectual property awareness (trademarks, copyright basics, when to get specialist IP advice)
- Data protection and GDPR compliance (privacy policies, data processing agreements, breach procedures)
- Company structure and governance (articles of association, shareholder agreements, director duties)
- Dispute resolution support (negotiation, mediation coordination, when to involve solicitors)
- Referral to specialist legal professionals where the matter exceeds general guidance

Important note on the Legal pillar. Mustard Seed does not currently provide formal legal advice. The services listed above are guidance and coordination, not legal counsel. For matters requiring qualified legal opinion, Mustard Seed refers to its partner firms. As the internal legal team is built, this distinction will evolve.

6.2 Pillar Structure

Each pillar is designed to operate with relative independence under the coordination of the Managing Director.

The long-term organisational concept follows a clear chain.

- Pillar (e.g. Operations)
- Partner or Head of Pillar
- Specialist Team
- Client Engagement

Each pillar will eventually be led by a dedicated partner or head with their own specialist team. Partners will have responsibility for their pillar's client work, quality, and team development. Coordination between pillars happens when a client requires multidisciplinary work.

This is common. A supply-chain problem might initially appear operational, but fixing it could require financial modelling to assess cost impact and marketing adjustments to manage customer expectations. In such cases, the Operations, Finance, and Marketing pillars would work together on the same engagement.

In Year 1, the founder delivers all pillar services personally. The pillar structure becomes operational as senior hires and partners join the business.

6.3 Option A — Network Membership (Equity + Revenue Share)

Network members receive all four core service pillars at no additional cost.

- Operational counselling and implementation support
- Marketing counselling and implementation support
- Financial counselling and management support (small financial aid to be introduced in future)
- Legal counselling and support (in development)

Pricing: 15–20% equity stake (preferred 17%) in the member company, negotiated based on scope, company maturity, and duration of engagement. In addition, a recurring revenue or profit share of 5–10%, negotiated per engagement.

The diagnostic phase is included as part of the network engagement. Network members do not pay separately for the diagnostic (see Section 7).

6.4 Option B — Paid Consulting (Non-Network)

For businesses that want Mustard Seed expertise without joining the network.

- Hourly consulting: £75–£150 per hour
- Project-based engagements: £1,500–£8,000 depending on scope
- Retainer arrangements: £500–£1,500 per month

Option B clients receive no network benefits, no access to inter-member services, and no ongoing support beyond the contracted scope.

Important distinction for Option B. Paid consulting clients must also pay separately for the diagnostic process (see Section 7.4). Unlike network members, the diagnostic is not included. The client receives a diagnostic report with three strategic plans and an implementation proposal with a budget. They then decide whether to proceed with implementation, also on a paid basis.

6.5 Financial Advisory Services (Fee-Based)

Available to non-network clients on a paid basis. Network members receive financial counselling and management support as part of their membership (see Section 6.3).

- Cash flow analysis and forecasting: £500–£1,500 per engagement
- Financial model building: £750–£2,000 per model
- Funding readiness assessment and pitch preparation: £500–£1,000
- Bookkeeping setup and training: £300–£800
- Ongoing financial advisory retainer: £200–£400 per month

6.6 Future Development Ideas

The following are planned additions to the service offering. They are not yet active and will be developed as the network matures.

- Training services: Fee-based workshops and courses covering business fundamentals, skills development, and one-to-one mentoring. To be developed as a standalone side service, separate from the main consulting pillars. All clients (network and non-network) would pay for training.
- Preferential trading between network members: Optional facilitated introductions and preferential commercial terms between member companies. Not guaranteed, to be developed based on network size and member demand.
- Small financial aid for network members: Modest working capital or microloans to support member companies through growth phases. To be funded from Mustard Seed's own revenue, not external capital.
- Discount structure for bundled services: Potential tiered pricing for Option B clients who engage multiple pillars. Not to be implemented until the business reaches a later stage.

7. The Diagnostic Process

The diagnostic is the first major phase of every Mustard Seed engagement. For network members, it forms Stage 1 of the equity engagement and the first 5% equity is earned upon its completion. For paid consulting clients, it is a separately priced piece of work.

The diagnostic runs for three months and follows a structured process.

7.1 Month 1 — Client Research and Information Gathering

The client conducts its own research and information gathering. The purpose is to establish what the company says is happening and what resources it actually has available.

The client is expected to do the following.

- Conduct their own market research
- Carry out internal company research and self-assessment
- Gather and organise financial information (accounts, cash flow, projections)
- Compile operational records and relevant business documentation
- Provide Mustard Seed with all of the above in an organised format

Mustard Seed does not do this work for the client. Month 1 is the client's responsibility. The quality and completeness of their research directly affects the quality of the strategic plans that follow.

7.2 Month 2 — Mustard Seed Investigation and Strategic Development

Mustard Seed conducts its own independent research. This is separate from what the client provided in Month 1.

Mustard Seed researches the following.

- Company history (beyond what the client presented)
- The market the company operates in

- The industry and its dynamics
- Competitors and their positioning
- Publicly available information about the company
- The assumptions and claims made by the client in their Month 1 research

The purpose is not to catch the client being dishonest. It is to validate, reconcile, and challenge the information so that strategic decisions are not based solely on management's interpretation.

Once the research is complete, Mustard Seed develops three strategic plans. Each plan offers a different approach, with different risk profiles, resource requirements, and expected outcomes.

7.3 Month 3 — Presentation and Agreement

The three strategic plans are presented to the client.

For a network member, Mustard Seed has a stronger strategic voice because it is an equity partner. It will advocate for the plan it believes is strongest. But it does not control the decision. The objective is to debate the options and reach an agreed direction.

For a paid consulting client, the client ultimately chooses the plan. Mustard Seed provides its professional recommendation if requested, but the decision belongs to the client.

Once a direction is agreed, implementation begins.

7.4 Diagnostic for Paid Consulting Clients

For paid consulting clients (Option B), the diagnostic process follows the same three-month structure. However, there are important differences.

- The diagnostic is not included in any membership arrangement. It is a separately priced engagement.
- Upon completion, the client receives the Diagnostic Report with three strategic plans.
- The client also receives an implementation proposal with a budget for ongoing work.
- The client then decides whether to proceed with implementation (also on a paid basis).
- There is no obligation to proceed at any point.

The diagnostic fee for Option B clients will be determined based on the scope and complexity of the engagement. This is a fee, not a complimentary service.

8. The Implementation Model

Once the diagnostic is complete and a strategic direction is agreed, implementation begins. This is where Mustard Seed's model differs most from traditional consulting.

8.1 Team Composition

Mustard Seed supplies a team of roughly 2–3 people, depending on the engagement scope. The client is expected to provide its own implementation team.

The principle is straightforward. Mustard Seed does not simply tell the company what to do. Both teams work together to execute the agreed plan. The size and capability of the client's team can materially affect implementation capacity.

8.2 Working Principle

Mustard Seed embeds within the client's business. Its team works alongside the client's team on the agreed strategic plan. This is not advisory work done from the outside. It is hands-on work done on the inside.

The level of involvement varies by engagement. Some clients need heavy support across multiple pillars. Others need targeted help in one area. The engagement is shaped by what the diagnostic identified and what the parties agreed.

8.3 Review Schedule

- Month 6: Major checkpoint. Review progress against the agreed plan, adjust priorities, address any issues that have emerged.
- Month 12: Full review. Assess overall progress, evaluate whether objectives have been met, agree on next steps.
- Monthly or bi-monthly check-ins are available where appropriate for smaller updates.

Reviews are collaborative. Both Mustard Seed and the client assess progress together. If the plan needs adjusting, both parties agree on the changes.

8.4 Completion

The engagement does not automatically terminate at Month 12. It continues until the agreed objectives have been satisfactorily achieved by both parties. If further work is needed, the engagement continues and is reviewed periodically.

There is no fixed end date. The engagement is complete when both Mustard Seed and the client agree that the objectives have been met.

9. Commercial Framework

This section covers the equity structure, the revenue and profit share question, payment timing, and exit mechanisms. Together these form the commercial framework that governs network membership.

9.1 Equity Structure (Provisional)

The preferred equity position is 17% of the member company, with a negotiation range of 15–20%.

A provisional staged model has been developed.

- Stage 1 — Diagnostic (Months 1–3): 5% equity earned upon completion of diagnostic and agreement on strategic direction
- Stage 2 — Implementation (Months 4–12): 7% equity earned upon hitting agreed KPIs

- Stage 3 — Maturity (Month 12+): Remaining 5% equity earned as the business reaches agreed milestones
- Mutual exit clause: Either party can end the engagement at any stage boundary. Mustard Seed retains only the equity earned to that point.

This staged structure is provisional and subject to further development. The exact staging, percentages, and KPI triggers have not been finalised. The principle (equity earned progressively rather than upfront) is established. The specific mechanics may change as the model is tested with actual clients.

9.2 Revenue Share vs Profit Share

This is the largest unfinished commercial question.

The current position is a 5–10% recurring revenue or profit share, negotiated per engagement. The calculation basis (revenue or profit) has not been finalised.

Revenue Sharing (percentage of monthly revenue)

- More predictable cash flow for Mustard Seed
- Less opportunity for accounting decisions to reduce the payment
- Better ability to fund employees and operations with consistent income
- The business pays regardless of whether its margins are good
- Could become burdensome for low-margin businesses

Profit Sharing (percentage of monthly profit)

- More directly aligned with business success
- Less burdensome during genuinely low-margin periods
- Much easier for the payment base to fluctuate
- Requires an extremely clear definition of "profit"
- Reinvestment and legitimate expenses become important issues
- More complex to audit and verify

This is a decision that will likely be made on a per-engagement basis, with the choice depending on the nature of the client's business. Some businesses suit revenue sharing. Others suit profit sharing. The decision should not be one-size-fits-all.

Further development of the revenue and profit share framework is needed before the first network member is signed. The legal documents currently reference both options and leave the specific basis open for negotiation.

9.3 Payment Timing

The intended payment cycle works as follows.

- January's revenue (or profit) is calculated after January closes.
- Accounts and reporting are completed by the end of the first week of February.
- Payment is due in the second week of February.

Each month is calculated independently. The January payment does not reduce February's revenue or profit calculation. February is calculated on its own terms.

9.4 Exit Mechanisms

There are several ways a network membership can end.

Voluntary Exit (Member Leaves)

- The member loses all network privileges and ongoing support.
- Mustard Seed's equity position remains unless a share buyback is agreed.
- Revenue or profit share obligations may continue (if Mustard Seed retains equity) or cease (if shares are bought back).
- A share buyback can be negotiated at an agreed valuation.

Forced Removal (Mustard Seed Removes the Member)

- This applies in cases of serious disputes, unacceptable risk, misconduct, or circumstances that make the relationship untenable.
- The member loses all network privileges immediately.
- Mustard Seed will seek to dispose of its shares, either through sale to the company, sale to a third party, or redemption.
- Shares may be sold at a reduced valuation if necessary to achieve a clean exit.
- Revenue or profit share obligations cease.

Valuation (Future Development)

The mechanism for determining share value on exit has not been finalised. This is deliberate.

Valuation methods for private companies are complex and depend on the specific circumstances. The options include the following.

- Independent professional valuation (cost shared between parties)
- Formula-based valuation (e.g. multiple of revenue or profit, agreed in advance)
- Negotiated valuation between the parties

The appropriate method will depend on the size and maturity of the business at the time of exit. Rather than prescribing a mechanism now that may not suit future circumstances, this will be developed as the first exits approach.

10. Marketing & Sales Strategy

10.1 Go-to-Market (Pilot Phase)

The pilot phase focuses on acquiring the first 2–3 network members through low-cost, high-trust channels. Mass marketing is unnecessary and wasteful at this stage — the embedded model requires selectivity.

10.2 Customer Acquisition Channels

Channel	Approach	Cost	Expected Volume
Faith-based networks	Partner with CREO Ventures, Navigators UK NEC, church business groups for referrals	Minimal (relationship-based)	1–2 per quarter
Direct research & outreach	Companies House filings, startup events, LinkedIn research to identify promising businesses	Time only (founder-led)	1–2 per quarter
Government enterprise hubs	Referral partnerships with local enterprise partnerships and Innovate UK contacts	Minimal	1 per quarter
Content & thought leadership	LinkedIn articles, speaking at local business and faith events, case studies (from Year 2)	Minimal (founder time)	1 per quarter
Portfolio referrals (Year 2+)	Existing network members recommend Mustard Seed to peers	Near zero	1–3 per quarter

10.3 Sales Process

Target cycle: 4–6 weeks from first contact to signed agreement, followed by a three-month diagnostic phase.

- Week 1–2: Research and initial contact (founder-led outreach)
- Week 3: Discovery meeting. Understand the business, present the Mustard Seed Network and engagement options (Option A or B)
- Week 4: Proposal with tailored terms. Equity and revenue share structure (Option A) or fee-based scope (Option B)
- Week 5–6: Negotiation, due diligence, and legal documentation. Diagnostic phase begins upon signing

11. Operations Plan

11.1 Founder as the Initial Resource

In Year 1, the founder is Mustard Seed's primary (and likely only) embedded resource. This limits the network to 2–3 member companies simultaneously (2–3 days per company per week). This constraint is a feature, not a limitation. It forces selectivity and ensures quality of engagement.

Revenue from fee-based consulting (Option B clients), financial advisory services for non-network clients, and recurring revenue share from network members supplements equity value and can be managed around the embedded schedule.

11.2 Technology & Systems

- CRM: Free or low-cost tool (HubSpot free tier, Notion) for tracking pipeline and engagements
- Financial tools: Excel and Google Sheets for financial modelling
- Communication: Standard business tools (email, video calls, WhatsApp for quick coordination)
- Project management: Trello or Notion for tracking deliverables and milestones

11.3 Location

No fixed office in Year 1. The embedded model means work happens at client premises. Meetings can be held at co-working day passes, coffee shops, or the client's offices. A serviced office or co-working membership becomes worthwhile once the team exceeds one person.

12. Management & Organisation

12.1 Year 1 — Solo Founder

The founder operates as Managing Director, lead consultant, and business developer. This is realistic because the pilot model limits the network to 2–3 companies, and the separated pricing creates multiple revenue streams that one person can manage.

12.2 Growth Hiring Plan

Role	Year 1	Year 2	Year 3	Trigger for Hiring
Founder / MD	1	1	1	—
Business Consultant	0	1	2	When portfolio reaches 4+ companies
Financial Specialist	0	0.5 (PT)	1	When financial advisory revenue exceeds £30K/yr
Marketing Support	0	0.5 (PT)	1	When portfolio companies need marketing execution
Admin / Coordinator	0	0.5 (PT)	1	When admin burden exceeds 10 hrs/week
Total	1	3.5	6	

12.3 Pillar Structure (Future Vision)

The long-term organisational structure is built around the four service pillars.

Managing Director (Founder)

- Operations Partner with specialist team
- Finance Partner with specialist team
- Marketing Partner with specialist team
- Legal Partner with specialist team

Each partner leads their pillar with relative independence. They are responsible for their area's client work, team, and quality. The Managing Director coordinates across pillars and manages the overall business.

Senior hires may join the business as partners rather than employees. This creates a path for experienced professionals to have genuine ownership and stake in the firm, rather than simply being hired staff.

The transition from solo founder to pillar structure will happen gradually, driven by revenue growth and the number of network members. The first partner hire is likely to be in the Operations or Finance pillar, where client demand is expected to be strongest.

12.4 Culture

- Family culture: Small team, high trust, mutual support across all functions
- Specialist identity: Every person is positioned as a specialist (an analyst, a strategist) not a generic employee
- Faith integration: Values-based decision-making, ethical practices. Faith is a foundation, not a hiring filter
- Employee development: Training opportunities, professional growth, potential equity participation for senior hires

13. Financial Projections

These projections assume the founder bootstraps the business with minimal personal capital. No external funding is assumed in Year 1. All figures are bottom-up from individual engagement assumptions. Detailed workings in the accompanying Excel model.

13.1 Revenue Forecast

Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
Equity Dividends / Revenue Share	£0	£5,000	£25,000	£65,000	£140,000
Paid Training Services	£8,000	£22,000	£45,000	£70,000	£100,000
Financial Advisory (Fee-Based)	£12,000	£28,000	£50,000	£70,000	£95,000

Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
Non-Affiliated Consulting	£20,000	£35,000	£55,000	£75,000	£100,000
Equity Exits	£0	£0	£0	£50,000	£85,000
Total Revenue	£40,000	£90,000	£175,000	£330,000	£520,000

13.2 Cost Structure

Cost Category	Year 1	Year 2	Year 3	Year 4	Year 5
Founder Drawing / Salary	£18,000	£28,000	£35,000	£40,000	£45,000
Staff Salaries (from Year 2)	£0	£42,000	£98,000	£135,000	£160,000
Office / Co-working	£0	£3,600	£6,000	£9,600	£12,000
Legal & Professional	£3,000	£5,000	£8,000	£10,000	£12,000
Technology & Tools	£500	£1,500	£3,000	£4,000	£5,000
Marketing & Outreach	£1,000	£3,000	£5,000	£8,000	£10,000
Insurance	£1,500	£2,500	£4,000	£5,000	£6,000
Travel & Client Visits	£2,000	£3,500	£5,000	£6,000	£7,000
Working Capital to Portfolio Co.	£5,000	£15,000	£25,000	£35,000	£45,000
Contingency (10%)	£3,100	£10,410	£18,900	£25,260	£30,200
Total Costs	£34,100	£114,510	£207,900	£277,860	£332,200

13.3 Profit & Loss Summary

	Year 1	Year 2	Year 3	Year 4	Year 5
Total Revenue	£40,000	£90,000	£175,000	£330,000	£520,000
Total Costs	£34,100	£114,510	£207,900	£277,860	£332,200
Net Profit / (Loss)	£5,900	(£24,510)	(£32,900)	£52,140	£187,800
Cumulative P/L	£5,900	(£18,610)	(£51,510)	£630	£188,430
Portfolio Equity Value*	£30,000	£120,000	£350,000	£700,000	£1,400,000

*Estimated fair market value of Mustard Seed's equity positions based on conservative revenue multiples (2–3x) of portfolio companies.

13.4 Funding Strategy

Year 1 is designed to be self-funded with minimal personal capital (~£5,000–£10,000 startup costs). Revenue from consulting, training, and financial advisory covers operating costs from month 1. The business aims to be cash-flow positive in Year 1 at the operating level before expanding and hiring in Year 2.

If external funding is pursued (Year 2–3), it would be for acceleration, not survival:

- Small seed round (£30,000–£50,000) to hire first consultant and accelerate portfolio growth
- Potential SEIS/EIS-eligible investment structure to attract angel investors with tax relief
- Revenue-based financing as an alternative to dilutive equity rounds

13.5 Sensitivity Analysis

Scenario	Y1 Revenue	Y3 Revenue	Y5 Revenue	Break-Even Year
Optimistic (4 companies Y1, 40% growth)	£55,000	£240,000	£680,000	Year 1
Base Case (2–3 companies Y1, 30% growth)	£40,000	£175,000	£520,000	Year 1 (then dip Y2–3 during hiring)
Pessimistic (1 company Y1, 20% growth)	£25,000	£95,000	£280,000	Year 2
Stress Test (0 companies Y1, consulting only)	£18,000	£60,000	£150,000	Year 3

Even the stress test scenario — where Mustard Seed fails to secure any portfolio companies in Year 1 — remains survivable because consulting, training, and financial advisory revenue cover the founder's minimal costs.

14. Legal and Regulatory Framework

This section outlines the legal framework that governs Mustard Seed's operations and engagements with portfolio companies. Each area below is supported by a standalone legal document available in the Company's document pack.

14.1 Pre-Engagement Confidentiality

Before any substantive discussions with a prospective portfolio company, Mustard Seed requires both parties to sign a Mutual Non-Disclosure Agreement (NDA). The NDA protects sensitive business information shared during the diagnostic and discovery phase. It covers business plans, financial data, customer information, operational processes, and intellectual property. The NDA is mutual, meaning Mustard Seed's own methodologies and proprietary frameworks are equally protected. Confidentiality obligations survive for two years after the end of discussions. This is a non-negotiable step before any diagnostic work begins.

14.2 Diagnostic Engagement Letter

The initial diagnostic assessment is governed by a formal Letter of Engagement, signed before Mustard Seed begins any on-site or embedded work. The letter sets out the scope of the diagnostic, the expected duration, the deliverables (a written Diagnostic Report with prioritised recommendations), and confirms that the diagnostic is provided on a complimentary basis with no obligation on either party to proceed further. This protects both Mustard Seed and the prospective portfolio company from scope creep and misaligned expectations. If the diagnostic leads to a proposal for a longer-term engagement, the terms of that engagement are set out in a separate agreement.

14.3 General Terms of Business

All engagements with Mustard Seed, whether equity-based or fee-based, are governed by a set of General Terms of Business. These terms cover liability limitations, intellectual property ownership, confidentiality, data protection, payment terms for fee-based services, non-solicitation of staff, force majeure, and dispute resolution. The General Terms sit underneath any specific engagement agreement. Where a specific agreement (such as the Equity-for-Services Agreement) addresses a matter, its terms prevail over the General Terms.

14.4 Share Issuance and Articles of Association

Mustard Seed Ltd is incorporated with tailored Articles of Association that support the equity-for-services business model. The Articles grant the Directors standing authority to allot shares under section 550 of the Companies Act 2006, and disapply statutory pre-emption rights under sections 561 and 562. This is necessary because the model requires issuing shares to portfolio companies and future investors without a shareholder vote for each transaction. The Articles also include a Right of First Refusal on share transfers and specific provisions for managing conflicts of interest arising from the Company's role as both consultant and minority shareholder.

14.5 Data Processing Agreements

When Mustard Seed embeds within a portfolio company, it will inevitably process personal data belonging to that company's customers, employees, or suppliers. Under the UK GDPR, this requires a Data Processing Agreement (DPA) between Mustard Seed and the portfolio company. The DPA sets out the types of data being processed, the purposes of processing, the security measures in place, and the obligations of both parties. Mustard Seed's own Privacy Policy governs how it handles personal data as a data controller.

14.6 Conflicts of Interest Framework

As Mustard Seed builds a portfolio of companies, conflicts of interest will arise. Two portfolio companies may operate in similar markets, or information learned inside one company may be commercially relevant to another. Mustard Seed manages this through a formal Conflicts of Interest Policy. The policy requires all potential conflicts to be declared, recorded, and managed through information barriers where necessary. The Articles of Association include provisions preventing Directors from voting on matters where they have a personal conflict.

14.7 Dispute Resolution Process

All Mustard Seed agreements include a structured dispute resolution process. Disputes are first addressed through good faith negotiation between senior representatives of both parties. If negotiation fails within 30 days, the dispute is referred to mediation under the Centre for Effective Dispute Resolution (CEDR) Model Mediation Procedure. Court proceedings are a last resort. This keeps costs manageable for both parties and reflects Mustard Seed's commitment to relationship preservation over adversarial processes.

15. Risk Analysis

15.1 Top Five Risks

Risk	Probability	Impact	Mitigation
Portfolio company failure	HIGH	HIGH	Staged equity model limits exposure. Thorough due diligence. Embedded monitoring provides early warning. Maximum 25% of deployed capital in any single company.
Founder capacity constraints	HIGH	MEDIUM	Limit portfolio to 2–3 companies in Year 1. Use fee-based services to fill schedule gaps. Hire first consultant when revenue justifies it.
Difficulty attracting startups to equity model	MEDIUM	HIGH	Lead with free mini-diagnostic. Offer pilot-first structure with exit rights. Leverage faith community for warm introductions via CREO and Navigators UK.
Revenue concentration risk	MEDIUM	MEDIUM	Diversify across equity income, training fees, consulting fees, and financial advisory. No single client should represent >30% of revenue.
Regulatory risk (FCA)	LOW	HIGH	Start with direct equity investments using own capital (exempt from FCA). Engage legal counsel for compliance as scale increases. Prepare for authorisation in Year 3+.

15.2 PESTLE Analysis

Factor	Assessment
Political	UK government actively supports SMEs through SEIS/EIS tax incentives, Start Up Loans, and enterprise zones. Post-Brexit domestic focus creates opportunities.
Economic	Rising interest rates make bank lending more expensive, driving demand for equity alternatives. Inflation increases costs but also the value of expert support.
Social	Growing interest in purpose-driven business aligns with Mustard Seed's values. Remote work trends create new categories of small businesses needing support.
Technological	AI tools can enhance Mustard Seed's diagnostic and analytical capabilities. Low-cost cloud tools enable lean operations.
Legal	FCA compliance for investment activities. Employment law for seconded workers. GDPR for client data handling.
Environmental	ESG considerations increasingly relevant. Mustard Seed can integrate responsible practices into its portfolio company assessments.

16. Pilot Launch Strategy

Mustard Seed launches lean. One founder, one core service, minimal costs. The pilot proves the model before scaling.

16.1 Pilot Scope

- Core service: Embedded consulting across operations, marketing, and finance (equity and revenue share based)
- Supporting revenue: Fee-based consulting (Option B), financial advisory for non-network clients
- Target: 2–3 network member companies in Year 1
- Geography: Midlands and South East (proximity for embedded work)
- Engagement structure: Three-month diagnostic with staged equity (5% + 7% + 5%, provisional), plus 5–10% recurring revenue or profit share

16.2 Success Criteria for Pilot (Year 1)

- Secure 2–3 network members with signed equity agreements
- Generate £30K+ in combined revenue (consulting + advisory)
- At least one member company shows measurable improvement (revenue growth, cost reduction, or operational KPIs)
- Positive cash flow at the operating level (before working capital deployment)
- Build pipeline of 5+ qualified leads for Year 2

16.3 Expansion Triggers

Trigger	Action	Investment Required
Portfolio reaches 4+ companies	Hire first Business Consultant	£28,000–£32,000/yr salary
Financial advisory revenue exceeds £30K/yr	Hire part-time Financial Specialist	£15,000–£18,000/yr (PT)
Training demand exceeds founder capacity	Hire part-time Training Coordinator	£12,000–£15,000/yr (PT)
Portfolio reaches 8+ companies	Secure co-working / serviced office	£3,600–£6,000/yr
Total revenue exceeds £150K/yr	Consider small seed round for acceleration	£30,000–£50,000 raise

16.4 What Comes After the Pilot

If the pilot succeeds, Year 2–3 expands the service offering from the founder's direct delivery to a pillar-based team structure. Each service pillar (Operations, Finance, Marketing, Legal) becomes staffed by specialist hires or partners.

- Mustard Seed Fund: Pooled investment vehicle for external investors (SEIS/EIS-eligible)

- Regional expansion: Franchise or partner model to cover additional UK regions
- Church Investors Group: Explore as potential LP for a formal fund structure
- Portfolio exits: First liquidity events from mature member companies

17. Appendices

Appendix A: Financial Assumptions

- Network member companies per year: 2–3 (Y1), 6–8 (Y2), 8–10 (Y3)
- Average equity stake: 17% (range: 15–20%), earned through staged milestones (5% + 7% + 5%, provisional). Plus recurring revenue or profit share of 5–10%.
- Average member company revenue at entry: £30,000–£150,000 per annum
- Average growth rate with Mustard Seed support: 25–40% annually (base case 30%)
- Working capital deployment: £2,500–£5,000 per company initially
- Consulting rate (non-network): £75–£150 per hour
- Network member attrition: ~20% over 5 years

Appendix B: Competitor Data Sources

- Techstars — techstars.com/newsroom/investment-terms (verified October 2025)
- Seedcamp — seedcamp.com/faqs
- Bethnal Green Ventures — bethnalgreenventures.com
- Entrepreneur First — joinef.com/faqs/london
- CREO Ventures — creoventures.co
- Navigators UK — navigators.co.uk/entrepreneurs
- Faith Driven VC — faithdriven.vc
- Church Investors Group — churchinvestorsgroup.org.uk

Appendix C: Market Sources

- Coherent Market Insights — Business Incubator Market 2025–2032 (\$25.9B → \$44.2B, 7.9% CAGR)
- UK Government BEIS — Business Incubators and Accelerators: The National Picture
- ONS — UK Business Demography (390,000 business births, 2024)
- Innovate UK — Innovation Accelerator Programme (£100M, 2022–2026)

— End of Business Plan —